

02:00 PM

26-CIV-00570 ELIZABETH BULJAN VS. ERIC YUAN, ET AL.

LINE 6

ELIZABETH BULJAN
ERIC YUAN

BLAIR KITTLE
RACHEL K. IVANOWSKY

DEFENDANT: DANIEL CHUNG, STEPHEN PAHI, CATHERINE ROBERTSON AND SPENCER FANE LLP'S MOTION TO STRIKE (SLAPP)

TENTATIVE RULING:

Defendants Daniel Chung, Stephen Pahl, Catherine Schlomann Robertson, and Spencer Fane LLP have filed a Special Motion to Strike ("anti-SLAPP motion") Plaintiff Elizabeth Buljan's Complaint for Malicious Prosecution.

Defendants' Special Motion to Strike Plaintiff's Complaint is DENIED.

Background

According to Plaintiff's Complaint, Defendants Eric Yuan and Sherry Yuan sued Ms. Buljan in 2023, through their alleged alter-ego, Defendant MarigoldYZP I LLC ("Marigold" and, collectively with the Yuans, "Marigold Defendants"), for over \$37,000,000.00 in an alleged breach-of-contract case, despite full knowledge that Ms. Buljan had never met the Yuans, Ms. Buljan had signed no contracts with the Yuans or related entities, and Ms. Buljan had nothing to do with the underlying facts alleged in their lawsuit. Knowing that Ms. Buljan was completely uninvolved in the underlying dispute, Eric and Sherry Yuan, through their lawyers and an LLC "MARIGOLDYZP I," maliciously prosecuted their lawsuit against Ms. Buljan for over two years, and stopped only when the court granted summary judgment for Ms. Buljan and entered judgment on January 8, 2026. (Complaint, ¶ 1)

The Complaint alleges that the Yuans prosecuted their lawsuit, allegedly a breach of contract case regarding an Atherton mega-mansion and future family home for the Yuans, against Ms. Buljan despite the Yuans' and their attorneys' knowledge that Ms. Buljan was not involved in any way with the real estate contract at issue in their case, but sued her purely because she was and is married to Pierre Buljan, who they alleged was involved. (*Id.*, ¶ 2.) In their respective depositions, both Eric Yuan and Sherry Yuan admitted that they had never met or communicated with Ms. Buljan and that the Yuans had never seen Ms. Buljan's name on any document pertaining to their property transaction. (*Id.*, ¶ 3.)

The Complaint alleges that despite knowing Ms. Buljan had nothing to do with their case prior to filing their lawsuit, and despite receiving confirmation in litigation from every other party that she was not involved, the Yuans continued to sue her for over \$37 million, forced her to endure hours of deposition, threatened her with harassing and ridiculous litigation demands including demanding access to her smart television, car back up cameras, and the nanny cameras in her children's rooms, and forced her to incur gargantuan sums in legal fees to defend against their malicious actions. (*Id.*, ¶ 4.)

The Complaint alleges that even though they knew such discovery would not produce any relevant information— because, again, both of the Yuans knew that Ms. Buljan was not involved in the

underlying allegations of their case before they filed it— during the litigation, the Yuans propounded 66 separate requests for production of documents on Ms. Buljan. (*Id.*, ¶ 5.)

The Complaint further alleges that the Yuans also instructed their attorney, Daniel Chung, to depose Ms. Buljan. During that deposition, Attorney Chung admitted 753 pages of irrelevant exhibits and questioned Ms. Buljan for more than 6 hours. In a primary line of questioning, Attorney Chung interrogated Ms. Buljan about every conceivable recording device in Ms. Buljan’s home, including, among other things, the nanny camera that records her granddaughter’s bedroom; their smart TV; and Ms. Buljan’s car back up camera. (*Id.*, ¶ 6.)

The Complaint alleges that Attorney Chung relentlessly pursued discovery related to these devices for several months, and after threatening Ms. Buljan with a motion to compel production of documents from her personal devices, forced the parties to attend an Informal Discovery Conference in October of 2024. (*Id.*, ¶ 7.) At the conclusion of that Conference, Commissioner Elliott issued a decision stating that Plaintiff’s line of questioning “approaches harassment of the witness” and concluded that any motion brought to access the devices in question would be meritless. (*Id.*, ¶¶ 8, 9.)

The Complaint alleges that the Yuans and their attorneys continued to prosecute their case against Ms. Buljan until forcibly stopped by the Court on January 8, 2026 in its final order granting summary judgment and unconditionally dismissing Ms. Buljan from the case. (*Id.*, ¶ 10, Ex. A, MarigoldYZP I LLC v. 88 Tuscaloosa Ave LLC, et al., 23-CIV-04063, Judgement (Jan. 8, 2026).)

Summarizing the relevant procedural history: On August 29, 2023, Marigold filed its complaint against Ms. Buljan. On November 14, 2023, Plaintiff and her husband, Pierre Buljan, also a defendant in the underlying action, filed a Cross-Complaint in that action. (Robertson Decl., ¶ 2.) On August 20, 2024, counsel for Ms. Buljan in the underlying action sent Defendants a letter demanding that Ms. Buljan be released from the case. (*Id.*, ¶ 6.) On March 11, 2025, having received no response from Defendants, Ms. Buljan moved for summary judgment. (*Id.*, ¶ 8.) On March 25, 2025, after Ms. Buljan filed her motion for summary judgment, Defendants offered conditionally to dismiss Ms. Buljan from the underlying action. (*Id.*, ¶ 7.) The Court granted summary judgment in favor of Ms. Buljan on October 5, 2025, and judgement was entered in her favor on January 8, 2026. (*Id.*, ¶ 8.)

On January 23, 2026, Ms. Buljan filed the instant action for malicious prosecution against the Marigold Defendants and their attorneys, Daniel Chung, Stephen D. Pahl, Catherin S. Robertson, and Spencer Fane LLP (collectively, “Attorney Defendants”). Two weeks later, the Court in the underlying action dismissed Ms. Buljan’s cross-claims, upon her request. (Kittle Decl., ¶ 21, Ex. 20.)

On February 19, 2026, after her cross-claims were dismissed, Plaintiff mailed Notices of Acknowledgment to the Attorney Defendants. (See Notices of Acknowledgment, filed March 2, 2026.) On March 2, 2026, the Attorney Defendants signed the notices. (*Ibid.*) On March 25, 2026, the Attorney Defendants filed the instant Anti-SLAPP motion.

On March 24, 2026, Plaintiff served the Marigold Defendants with process by substituted service. (See Proofs of Service by Substituted Service, filed April 8, 2026.) On May 15, 2026, the Court entered default against the Marigold Defendants. (See Entry of Default, May 15, 2026.) Plaintiff served the Marigold Defendants with notice of her request for default. (See Proof of Service, filed May 15, 2026.)

On May 22, 2026, the Marigold Defendant filed an Anti-SLAPP motion substantively identical to the motion filed by the Attorney Defendants and stated that they “will and hereby do join in the Special

Motion to Strike.” (Notice of Special Motion to Strike and Joinder, May 22, 2026.) However, as addressed in a separate tentative ruling, because the Marigold Defendants are in default, their motion to strike and request for joinder is dismissed as improper.

Legal Standard

Pasternack v. McCullough, (2015) 235 Cal. App. 4th 1347 succinctly lays out the standard governing this motion as follows:

A special motion to strike triggers a two-stage inquiry: First, the court decides whether the defendant has made a threshold showing that the challenged cause of action is one arising from protected activity. The moving defendant’s burden is to demonstrate that the act or acts of which the plaintiff complains were taken in furtherance of the defendant’s right of petition or free speech. Second, if the court finds such a showing has been made, it then determines whether the plaintiff has demonstrated a probability of prevailing on the claim.

A plaintiff establishes the requisite probability of success by stating and substantiating a legally sufficient claim. Put another way, the plaintiff must demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment if the evidence submitted by the plaintiff is credited. In deciding the question of potential merit, the trial court considers the pleadings and evidentiary submissions of both the plaintiff and the defendant; though the court does not *weigh* the credibility or comparative probative strength of competing evidence, it should grant the motion if, as a matter of law, the defendant’s evidence supporting the motion defeats the plaintiff’s attempt to establish evidentiary support for the claim.

A complaint for malicious prosecution is necessarily based on protected speech and petitioning activity. (*Id.* at 1354–55.) (quotations and citations omitted.)

Discussion

As the nature of this lawsuit satisfies the first step (protected speech), the Court moves on to the second step (probability of prevailing).

Courts “have described this second step as a summary-judgment-like procedure. The court does not weigh evidence or resolve conflicting factual claims. Its inquiry is limited to whether the plaintiff has stated a legally sufficient claim and made a prima facie factual showing sufficient to sustain a favorable judgment. It accepts the plaintiff’s evidence as true, and evaluates the defendant’s showing only to determine if it defeats the plaintiff’s claim as a matter of law. Claims with the requisite minimal merit may proceed.” (*Roche v. Hyde* (2020) 51 Cal. App. 5th 757, 787, as modified on denial of reh’g (July 29, 2020).) (quotations omitted)

“A cause of action for malicious prosecution consists of (a) the institution of an action at the direction of the defendant (b) without probable cause and (c) with malice, (d) termination of the initial action favorably to the plaintiff, and (e) resulting damage. Favorable termination is an essential element of the tort of malicious prosecution, and it is strictly enforced. The termination must reflect on the merits and be such that it tended to indicate the former defendant’s innocence of or lack of responsibility for the alleged misconduct. Indeed, the requirement of favorable termination confirms the plaintiff’s innocence, serves to

forestall unfounded claims and prevent inconsistent judgments, and facilitates proof of other elements of the tort.” (*Pasternack*, 235 Cal. App. 4th at 1355) (quotations and citations omitted).

Attorney Defendants attack the “without probable cause”, “malice” and “termination” elements.

As to the termination element, the Attorney Defendants make two arguments. First they argue that this element cannot be met because Plaintiff maintained a cross-complaint at the time this action was filed. While technically true, that cross-complaint was dismissed prior to this action being served or this motion being filed. Had Plaintiff dismissed this action and then refiled it after the dismissal of the cross-complaint, which she could easily have done, this argument would have been foreclosed. Deciding this motion in the Attorney Defendants’ favor solely on that basis would elevate form over substance. The *Pasternack* decision, on which the Attorney Defendants primarily rely, was explicitly premised on the fact that the cross-complaint remained pending. (*Pasternack*, 235 Cal. App. 4th at 1351.) (“When Pasternack filed his malicious prosecution complaint, **and when the special motion to strike was heard**, he was still pursuing a cross-complaint in the underlying action against some of the same defendants he claimed maliciously filed the complaint in the underlying action.”) There is no cross-complaint pending here and Attorney Defendants have cited no case that supports their position.

Next, Attorney Defendants argue that Plaintiff cannot establish the termination element because the underlying action remains pending. That is true. But they do not dispute that the underlying action does not remain pending as to **this** Plaintiff. And, the Court has been unable to find and Attorney Defendants have not cited any cases that hold that a Plaintiff must wait until a case is complete as to other parties before commencing suit for malicious prosecution. They cite language from *Pasternack*. But as already noted, *Pasternack* involved a pending cross-complaint. And the language cited by Attorney Defendants from *Pasternack* relies on two cases where the plaintiff still had pending claims (*Jenkins v. Pope* (1990) 217 Cal.App.3d 1292, 1299 (elimination of one claim); *Rich v. Siegel* (1970) 7 Cal.App.3d 465, 469 (partial summary judgment).) Attorney Defendants also cite *Fleuret v. Hale Constr. Co.* (1970) 12 Cal. App. 3d 227, 230 and *Call v. Alcan Pac. Co.* (1967) 251 Cal. App. 2d 442, 449. *Fleuret* and *Call* deal with the one final judgment rule as it applies to appealability and not whether a plaintiff need wait for resolution of a lawsuit involving other parties before filing a malicious prosecution action.

Attorney Defendants also contend that Plaintiff cannot demonstrate lack of probable cause. Plaintiff argues that there was no probable cause to prosecute the underlying action against her and that it was based solely on the fact that she was married to a defendant. Defendants counter that “Plaintiff does not—and cannot—dispute that naming a community property spouse in a lawsuit is established practice under *11601 Wilshire Associates v. Grebow*, 64 Cal. App. 4th 453, 456-57 (1998) and *Reynolds & Reynolds Co. v. Universal Forms, Labels & Systems, Inc.*, 965 F. Supp. 1392, 1396 (C.D. Cal. 1997). Indeed, Reynolds—the reasoning of which 11601 Wilshire imported wholesale—specifically found that it was ‘permissible to name both spouses in an action which determines community liability,’ including a ‘non-wrongdoing spouse.’” Reply at 5. But neither of those cases support naming an uninvolved spouse. In both those cases, the courts held that the plaintiff could not maintain an action against a spouse in every case solely on the basis of a co-spouse’s potential liability. And to the extent *Reynolds* does hold that, Plaintiff offers compelling arguments why Attorney Defendants cannot rely on *Reynolds*, including their maintenance of the underlying action and pursuit of discovery that at least arguably appeared targeted at establishing liability even after she requested that she be dismissed as well as their (ineffectively) opposing her motion for summary judgment.

Finally, Attorney Defendants argue the malice element. Plaintiff asserts that the complete lack of probable cause in filing (and continuing to pursue the actions without probable cause) creates an

inference of malice. That proposition has been endorsed by the Supreme Court and many other cases. (*Soukup v. L. Offs. of Herbert Hafif* (2006) 39 Cal. 4th 260, 296 (“Moreover, malice can also be inferred from the evidence that defendants lacked probable cause to initiate and maintain the underlying action against Soukup.”)). And it would appear to this Court that the more obvious the absence of probable cause, the stronger the inference. The Court in *Soukup* found that the showing of a lack of probable cause along with the concession of the defendant (in discovery) of a lack of involvement by the plaintiff and a failure to explain why the plaintiff was named in the underlying lawsuit (factors present here) (among other factors not present here) was sufficient to establish malice for the limited purpose of defeating a motion to strike. In addition, Plaintiff cites to discovery tactics that involved pursuing material that Attorney Defendants knew Plaintiff did not have (and did not relate to the community property interest the Attorney Defendant relied upon late in the case) and that were found by the Commissioner to “approach[] harassment”, including pursuing video footage from Plaintiff’s granddaughter’s nursery. The Court concludes that Plaintiff’s evidence taken in its entirety is sufficient to defeat the Attorney Defendant’s attack for the purposes of this Motion.

The Attorney Defendants rely on *Daniels v. Robbins* (2010) 182 Cal. App. 4th 204, 227. But that case involved less evidence than marshalled by Plaintiffs here, including the evidence of “knowledge the case lacked probable cause”. Plaintiffs also cite *Green Tree Headlands LLC v. Crawford* (2024) 97 Cal. App. 5th 1242, 1263 for the proposition that any alleged discovery abuse they are accused of could not support a finding of malice. But *Green Tree* was not addressing malice (it was addressing probable cause). And Plaintiff does not argue that the alleged discovery abuse (or any one factor) is sufficient alone to satisfy the malice showing for the purpose of defeating the motion. It is simply a piece of the puzzle. (*Compare id.* (“To the contrary, Roche (the malicious prosecution plaintiff in that case) has made a showing that Hyde (the attorney there who had Graves’s role here) had no objectively provable case at all, yet proceeded anyway.”) (quotations omitted.)). Defendant cites *Roche* for the proposition that there must be a “pattern of discovery misconduct”. What the Court found in *Roche* was that “the pattern of discovery misconduct and the manner in which it was carried out *solidify Roche’s showing* and make it sufficient to meet his prima facie burden on the issue of malice.” *Roche*, 51 Cal. App. 4th at 827 (emphasis added.) As in *Roche*, the Court concludes that Plaintiff’s evidence of needless and aggressive discovery (in *Roche* it was withholding discovery) despite late in the case contending that the only reason that Plaintiff was sued was related to her community property interest is a factor that supports Plaintiff’s showing.

Finally, Defendants note that its willingness to stipulate to dismissal “disproves” malice. It is certainly a fact that may undercut it, but, as Plaintiff notes—the offer was made only after Plaintiff filed for summary judgment (which Defendants, notably, practically conceded) and many months after Plaintiff first requested dismissal. And the offer was contingent.

In sum, the implication of Attorney Defendants’ argument is that it is normal and permissible to sue a knowingly uninvolved spouse and litigate against that spouse without limitation in any case where the co-spouse may be liable for damages that might come out of the community estate. The Court does not believe that to be the law.

For the foregoing reasons, the motion is DENIED.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

02:00 PM

26-CIV-00570 ELIZABETH BULJAN VS. ERIC YUAN, ET AL.

LINE 7

ELIZABETH BULJAN
ERIC YUAN

BLAIR KITTLE
RACHEL K. IVANOWSKY

DEFENDANTS: ERIC YUAN, MARIGOLDYZP I LLC, HONGYU ZHANG AND SOLE MANAGING MEMBER OF MARIGOLDYZP I LLC'S SPECIAL MOTION TO STRIKE (SLAPP)

TENTATIVE RULING:

Defendants MarigoldYZP I, LLC, Eric Yuan, and Sherry Yuan (collectively, "Marigold Defendants") have moved for a special motion to strike Plaintiff Elizabeth Buljan's Complaint against them for Malicious Prosecution, and to join the anti-SLAPP motion of their co-defendants, who represented them in the underlying case.

On January 23, 2026, Ms. Buljan filed the instant action for malicious prosecution against the Marigold Defendants and their attorneys, Daniel Chung, Stephen D. Pahl, Catherin S. Robertson, and Spencer Fane LLP (collectively, "Attorney Defendants"). On February 6, 2026, the Court in the underlying action dismissed Ms. Buljan's cross-claims, upon her request. (Kittle Decl., ¶ 21, Ex. 20.)

On March 24, 2026, Plaintiff served the Marigold Defendants with process by substituted service. (See Proofs of Service by Substituted Service, filed April 8, 2026.) On May 15, 2026, the Court entered default against the Marigold Defendants. (See Entry of Default, May 15, 2026.)

On May 22, 2026, the Marigold Defendant filed an Anti-SLAPP motion identical to the motion filed by the Attorney Defendants and stated that they "will and hereby do join in the Special Motion to Strike." (Notice of Special Motion to Strike and Joinder, May 22, 2026.) The entry of default against the Marigold Defendants has not been set aside.

Generally speaking, co-defendants may validly join another defendant's anti-SLAPP motion in malicious prosecution case. (*See Barak v. The Quisenberry Law Firm* (2006) 135 Cal.App.4th 654, 661-62 [finding joinder proper where malicious prosecution defendant was in same relative position as co-defendant attorneys who represented him in underlying case].)

However, California Courts have consistently held that an entry of default terminates a defendant's right to take any further affirmative steps in the litigation, at least until the default is set aside in a proper proceeding. (*Garcia v. Politis* (2011) 192 Cal.App.4th 1474, 1479.)

The Court sees no basis to deviate from that rule here, where the Marigold Defendants in default seek to join the anti-SLAPP motion of the Attorney Defendants. (*See Balla v. Hall* (2021) 59 Cal.App.5th 652, 691 [finding that joining a motion is equivalent to filing one; affirming denial of a defendant's joinder to co-defendant's anti-SLAPP motion where he had previously stipulated to not filing an anti-SLAPP motion in exchange for setting aside default against him].)
